ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 1 - ELEMENTS OF A TRADE SETUP

Welcome to the first teaching tutorial from the ICT monthly mentorship for Month 1, September 2016. This is the first of eight individual teaching tutorials that will complement the general theme for the month.

- This particular teaching focuses on 'Elements to a Trade Setup'.

- The month's focus has been on showing consistency delivered to developing traders who have put in the work with exercises and content materials.

When referring to elements to a trade setup, there are two primary concerns:

- Context or Framework: What makes a trade idea favorable? It's not just indicators or support/resistance levels; there must be a reason that builds a desire to execute the trade.

- Specific Principles: The material will cover four specific principles in general terms, and then pair them with ICT tools.

We're going to learn four specific principles that define market conditions:

- Expansion

- Retracement

- Reversal

- Consolidation

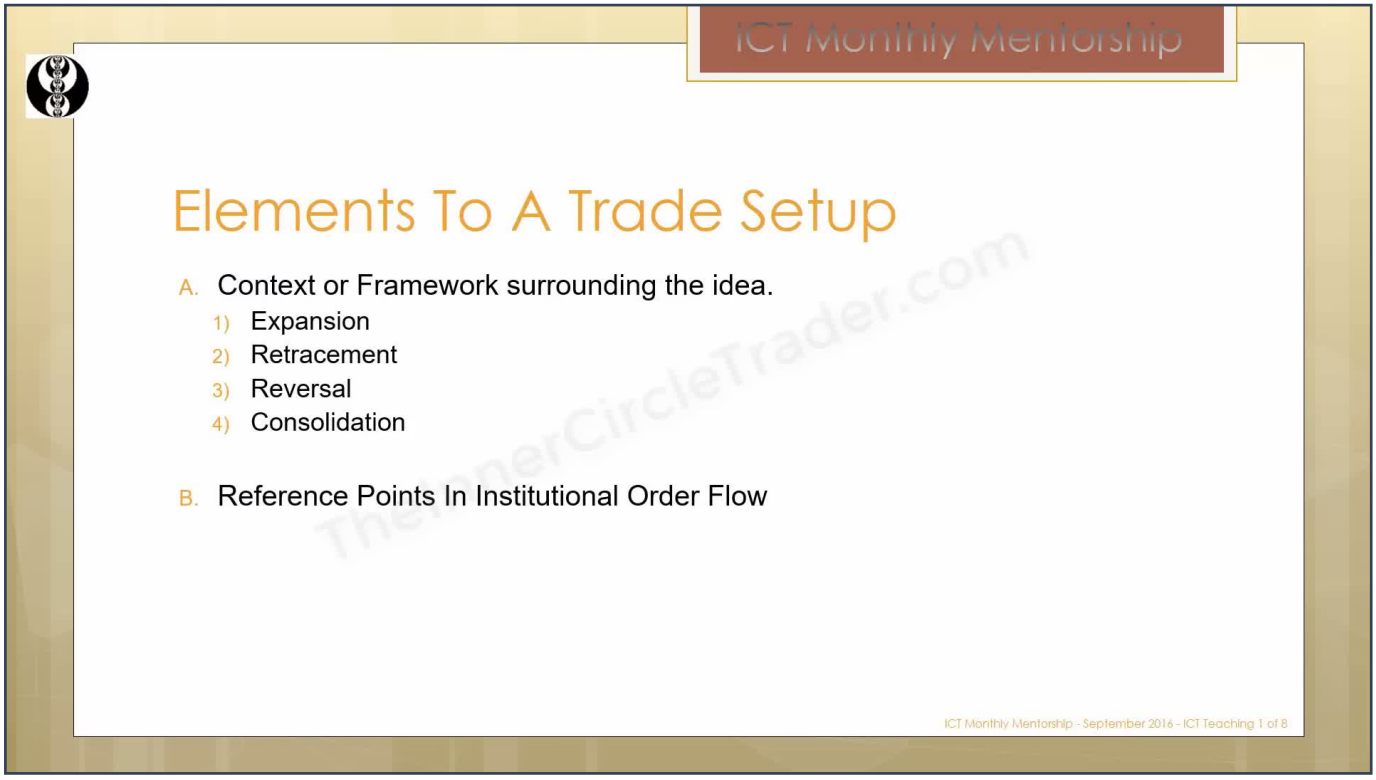
Each of these four conditions provides a specific framework and context to the marketplace. The market can only be in one of these four conditions at any given time.

- Expansion: The market is running away, trending.

- Retracement: A pullback.

- Reversal: A change in direction.

- Consolidation: The market is doing nothing, or more accurately, accumulating orders (as learned in the Market Maker series).



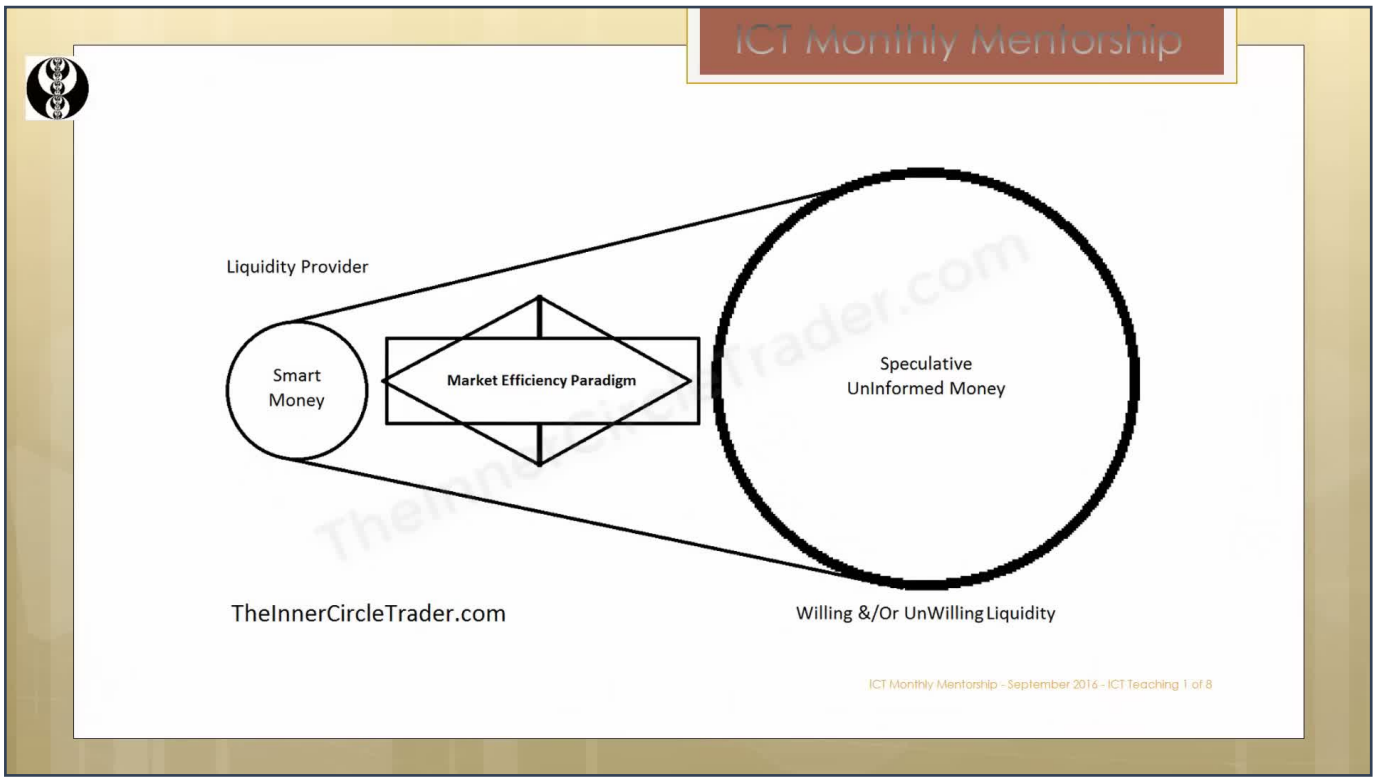
The other characteristic for defining elements to a trade setup involves using these four criteria for context and framework in relation to specific reference points in institutional order flow:

- Order Blocks

- Fair Value Gaps and Liquidity Voids

- Liquidity Pools and Stop Runs

- Equilibrium



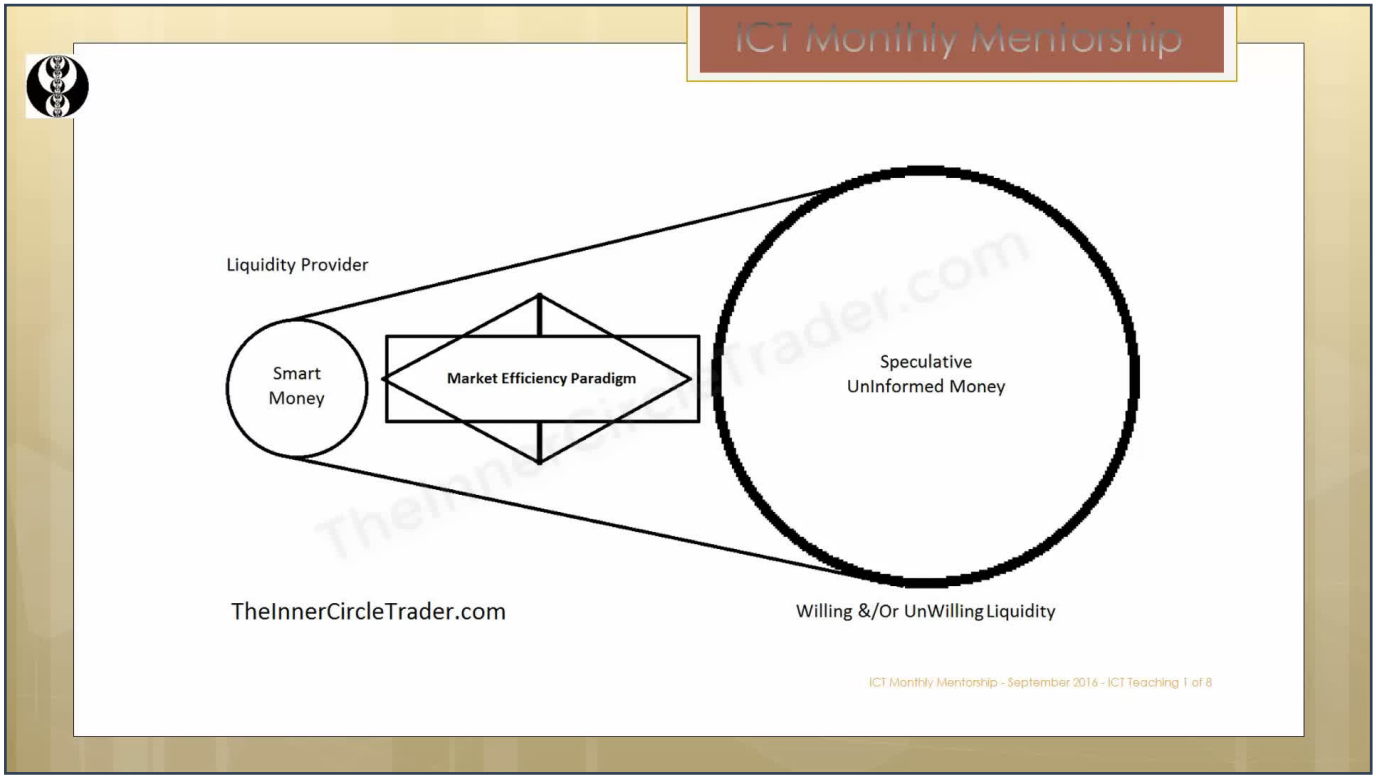
Understanding these two characteristics (market conditions and institutional reference points) together will provide a greater understanding of:

- Market efficiency Paradigm.

- How smart money interprets price.

- How smart money influences the general populace or the speculative, uninformed money.

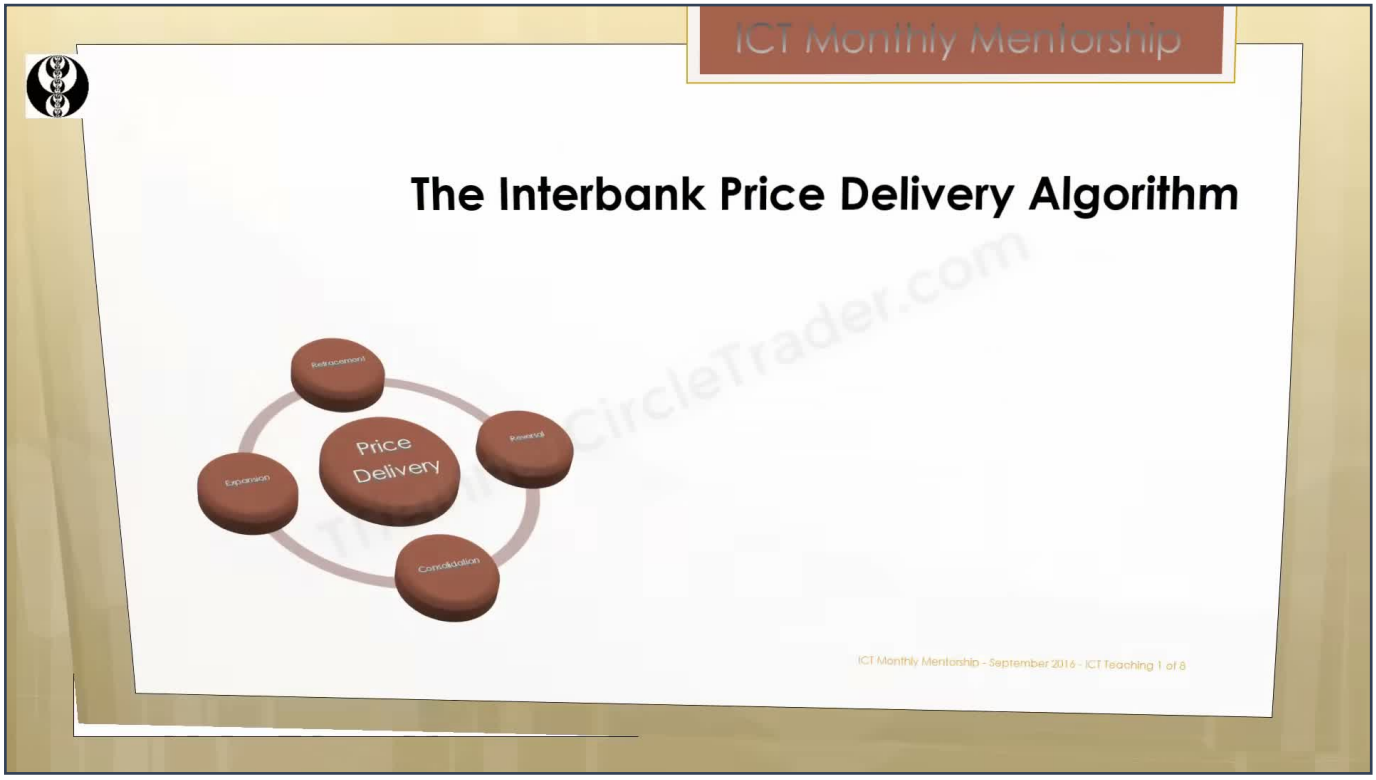
This tutorial will be illuminating, allowing you to look at the marketplace with an expectation of knowing which tool to apply based on what the market is currently providing.



It takes only a second or two to determine the current market characteristic to build a context or framework for your approach:

- Sometimes, you'll immediately know you shouldn't do anything because the market is consolidating, and you need to wait.

- The other three conditions (Expansion, Retracement, Reversal) will provide opportunities to take action relative to the tools coupled with those conditions or contexts.

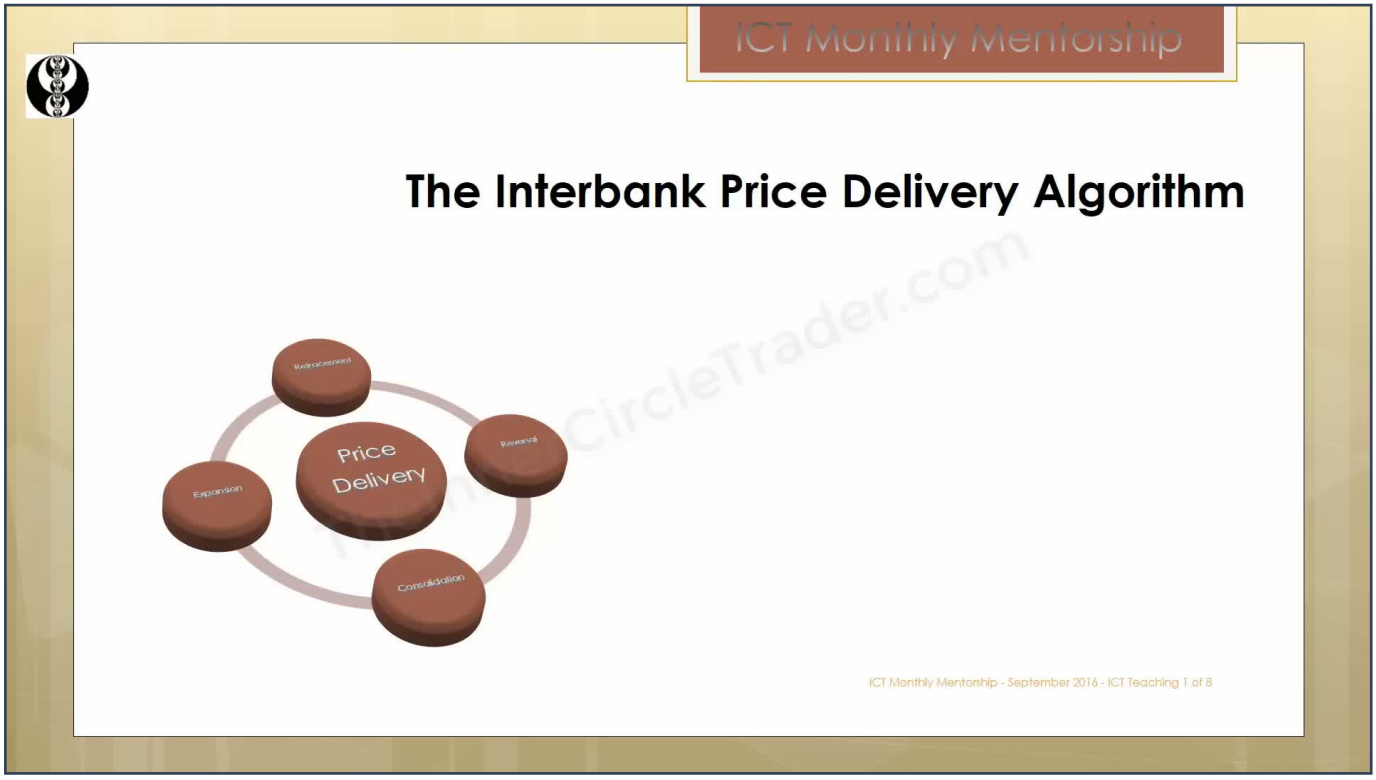


The Interbank Price Delivery Algorithm (the 'algo' or 'interbank algo') is essentially an artificial intelligence price engine.

- Approximately 90% of currency price delivery is done by electronic algorithms; it's all computer-based.

- It used to be open outcry in the pits, but it's no longer an auction market; it's all AI.

- These systems are based on principles taught by ICT for about seven years, which are not widely known or believed to exist.



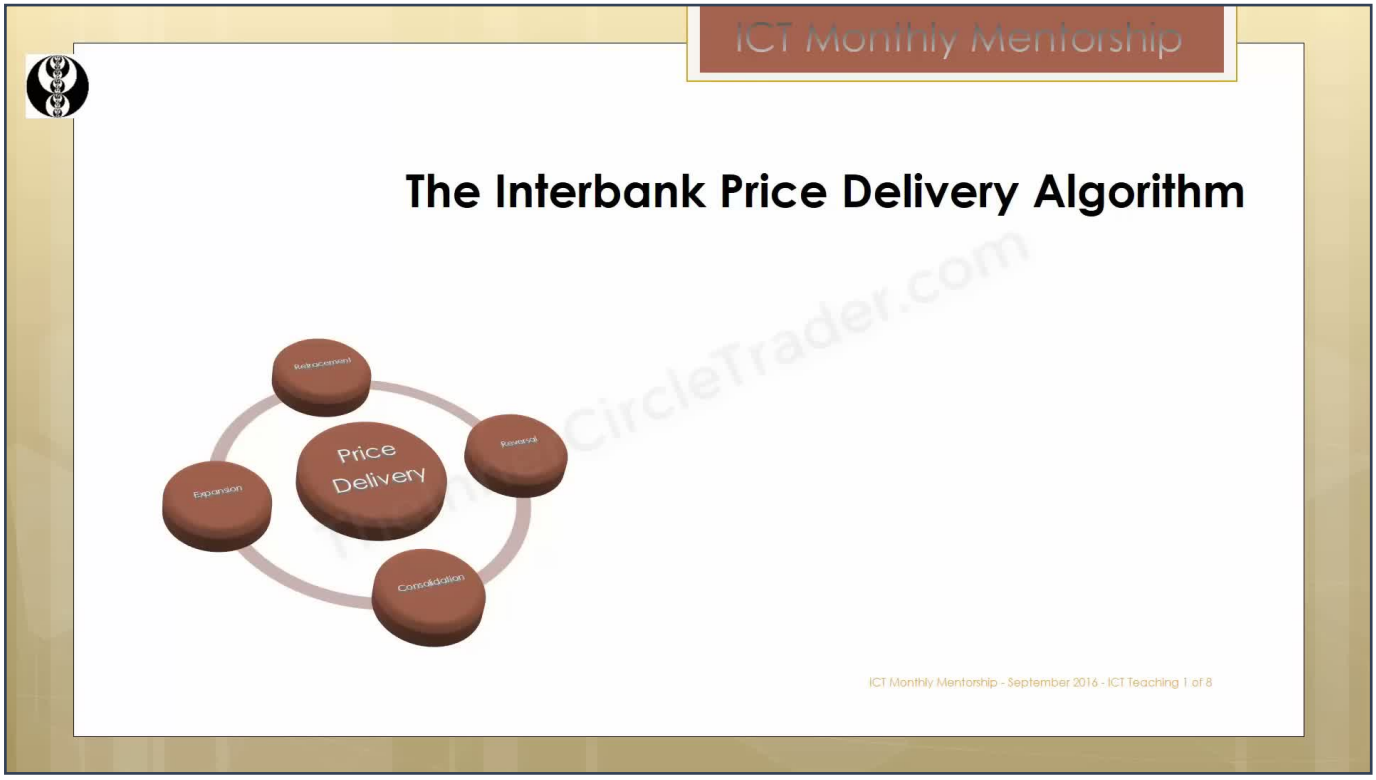
There is a movement away from human involvement in market making, as electronic systems have become more efficient.

- These systems are programmed by human beings, whose intelligence is limited.

- While it may be unsettling to realize you're not trading in a free market, it is highly manipulated, especially in foreign exchange.

- Because of its manipulated nature, the 'fingerprints' or clues of the market maker's operations are easy to see once you understand the conditions and functions of the Interbank Price Delivery Algorithm.

- The market's actions provide indications and clues about what to expect next, which builds your anticipatory skills.



You won't grasp these concepts immediately, especially if you haven't reviewed the prerequisite tutorials.

- If you haven't gone through the Sniper Series, Precision Trading Concepts, and the Market Maker Series yet (available in the free tutorial section on the ICT website), you will need those.

- Don't be discouraged if some terms go over your head, as they are taught in those three free tutorial series.

- Utilize the free tutorials to fill in the gaps when there isn't new mentorship content. The three crucial free tutorial series are:

  - Market Maker Series

  - Precision Trading Concepts

  - Sniper Series

THE CYCLE OF MARKET CONDITIONS

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The interbank algo dictates that market conditions cycle:

- The market often goes sideways in consolidation or a 'holding pattern'.

- From consolidation, the market moves into an expansion (an impulse move or price swing).

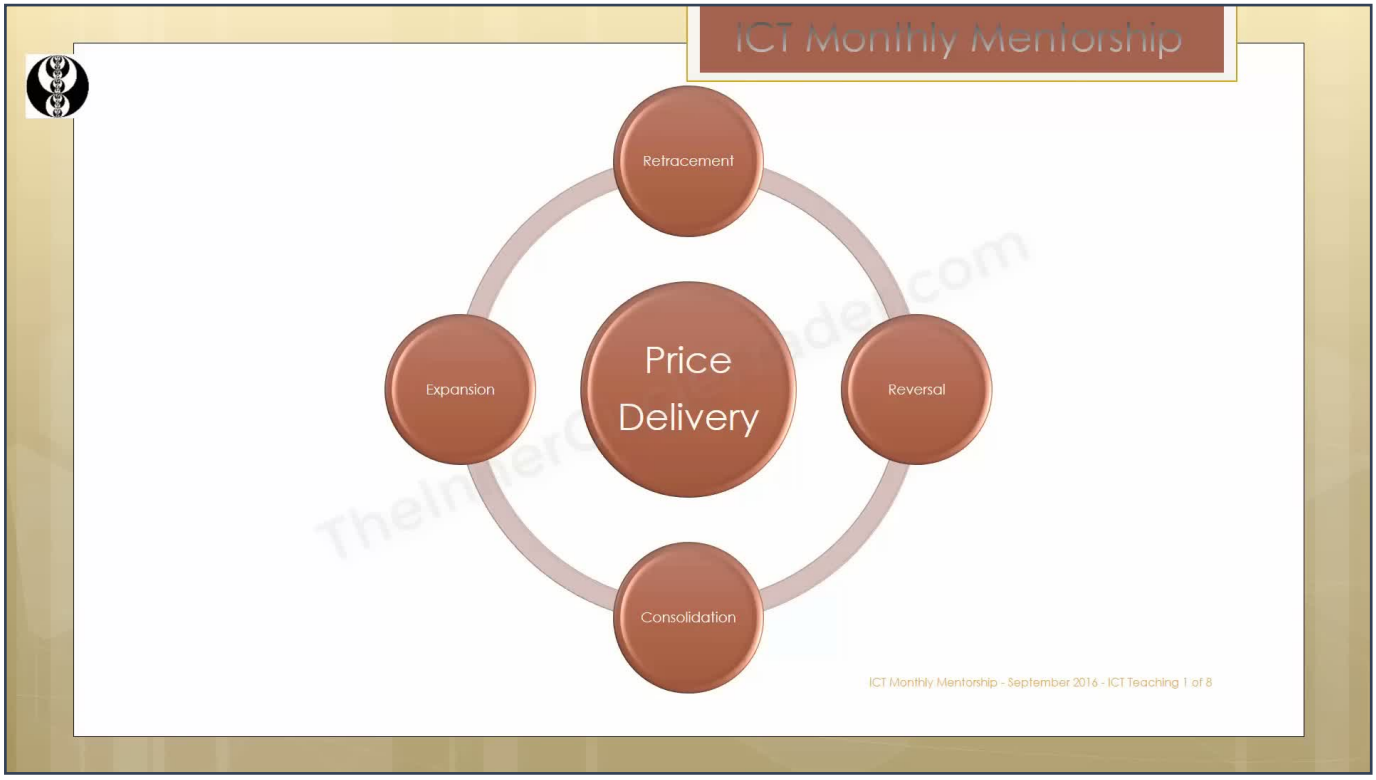
- After an expansion, price can either return to consolidation or move into a retracement.

- A retracement can lead to another level of expansion.

- After an expansion, price can go into a reversal pattern.

- A reversal pattern can be followed by a retracement, then potentially back to consolidation.

These four conditions interchange throughout the market's ups and downs. You will only ever observe one of these four conditions.



You don't need to know all four conditions to make a trade; you just need to know:

- Where the market is right now.

- Where it's likely to go.

- Where it came from.

- Over the course of the month, you'll gain an understanding of how to know where the market is going next, addressing the common question of 'teach me directional bias, ICT'.

- The main idea is that all market moves begin from a measure of consolidation, as this is where orders are built.

The market maker keeps the market in a tight or defined range during consolidation.

- This continues until enough money (orders) has built up on both the upper and lower ends of the range.

- The direction with the highest amount of money to be absorbed determines the direction of the subsequent move.

- While we don't always know this direction beforehand, we wait for the expansion.

- When expansion occurs, it provides a clue as to what the market is most likely to do next. We then wait for either a retracement, another consolidation, or a reversal.

- Always wait for the first expansion; it provides the necessary insight for decision-making.

- Sometimes, an expansion can be too large to act on immediately, requiring a wait for a retracement or the next consolidation, which is normal. You won't catch every move.

EXPANSION: DEFINITION AND IMPORTANCE

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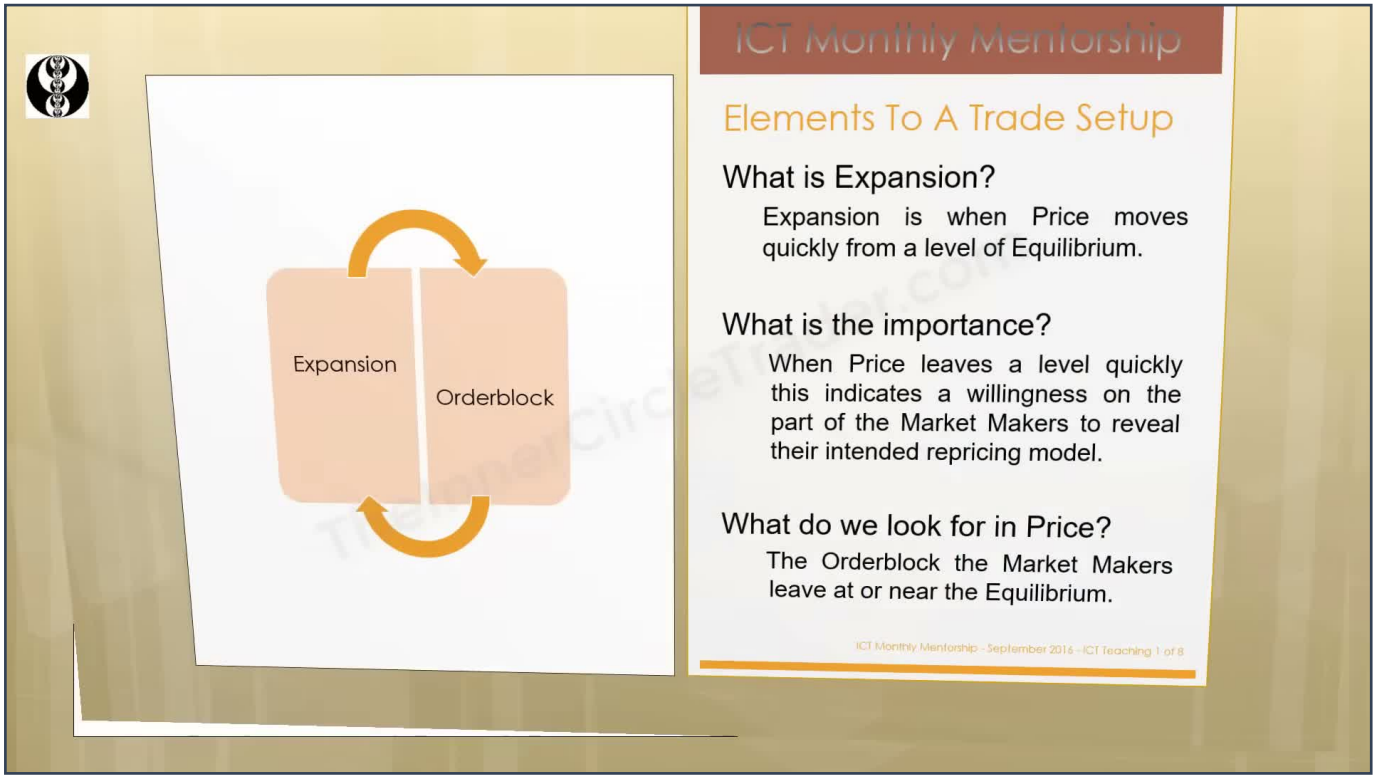

What is Expansion?

- Expansion is when price moves quickly from a level of equilibrium.

- Expansion directly couples with the ICT tool of an Order Block.

Importance of knowing Expansion:

- When price leaves a level quickly, it indicates a willingness on the part of the market makers to reveal their intended repricing model.

- If price moves up quickly from a consolidation or equilibrium point, it indicates a potential bullish order block. We don't chase price; we wait for price to return to the order block.

- We look for the order block that market makers leave near or at the equilibrium price point.

EXPANSION EXAMPLE: IDENTIFYING BULLISH ORDER BLOCKS

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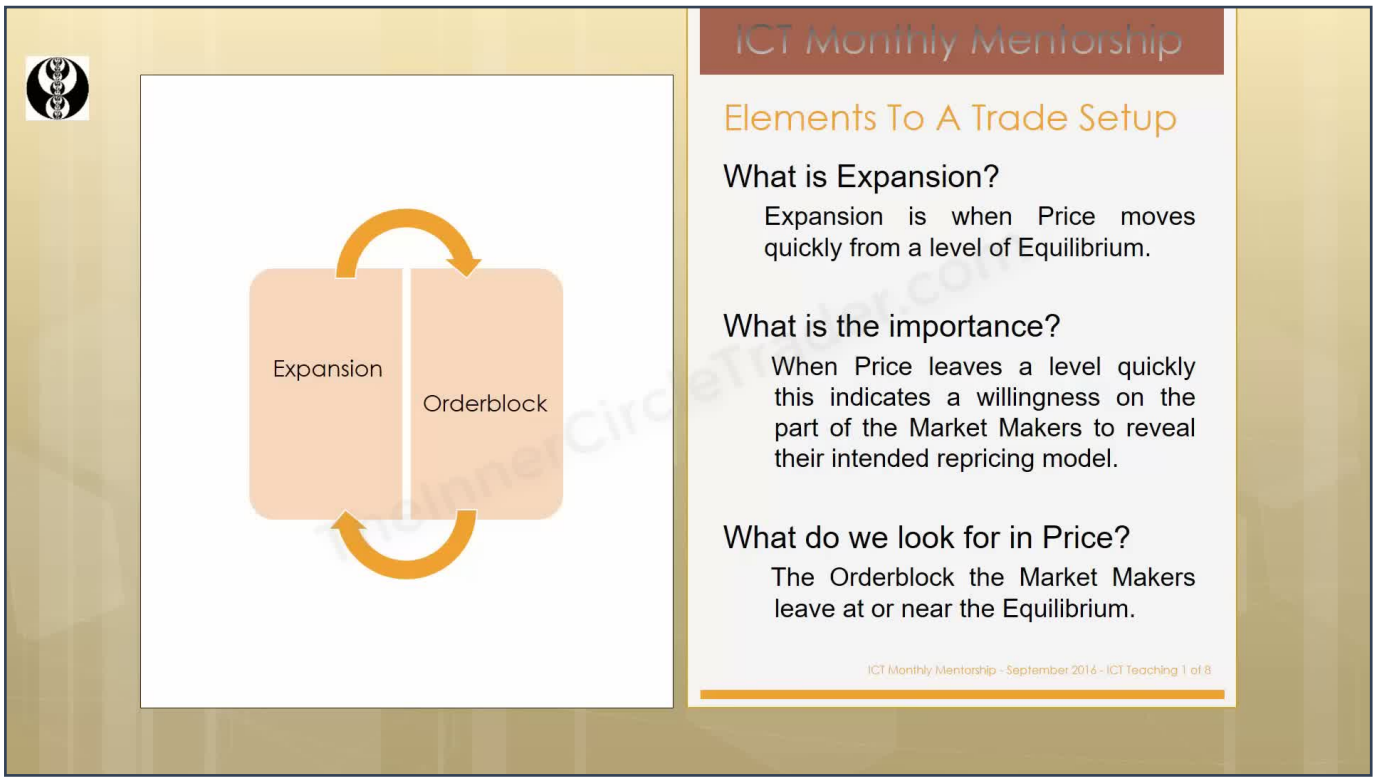

Here's an example:

- A clear consolidation is shown in a blue-shaded area, with a discernable high and low, and an equilibrium price point exactly in the middle.

- The equilibrium can be found using the Fibonacci tool from the high to the low of the consolidation range.

- The market will eventually move outside this consolidation, as seen in the impulse move in the tan-shaded box, moving away from the equilibrium price point.

- To identify the bullish order block, locate the down candle (or black candle) immediately before that impulsive up move.

- When price comes back down into this order block and hits it, that's where a buy entry would be. In the example, price hits this level and expands over 100 pips to the upside.

- This principle repeats consistently in price action. A similar consolidation and sell-off can be observed to the left of the example.

RETRACEMENT: DEFINITION AND IMPORTANCE

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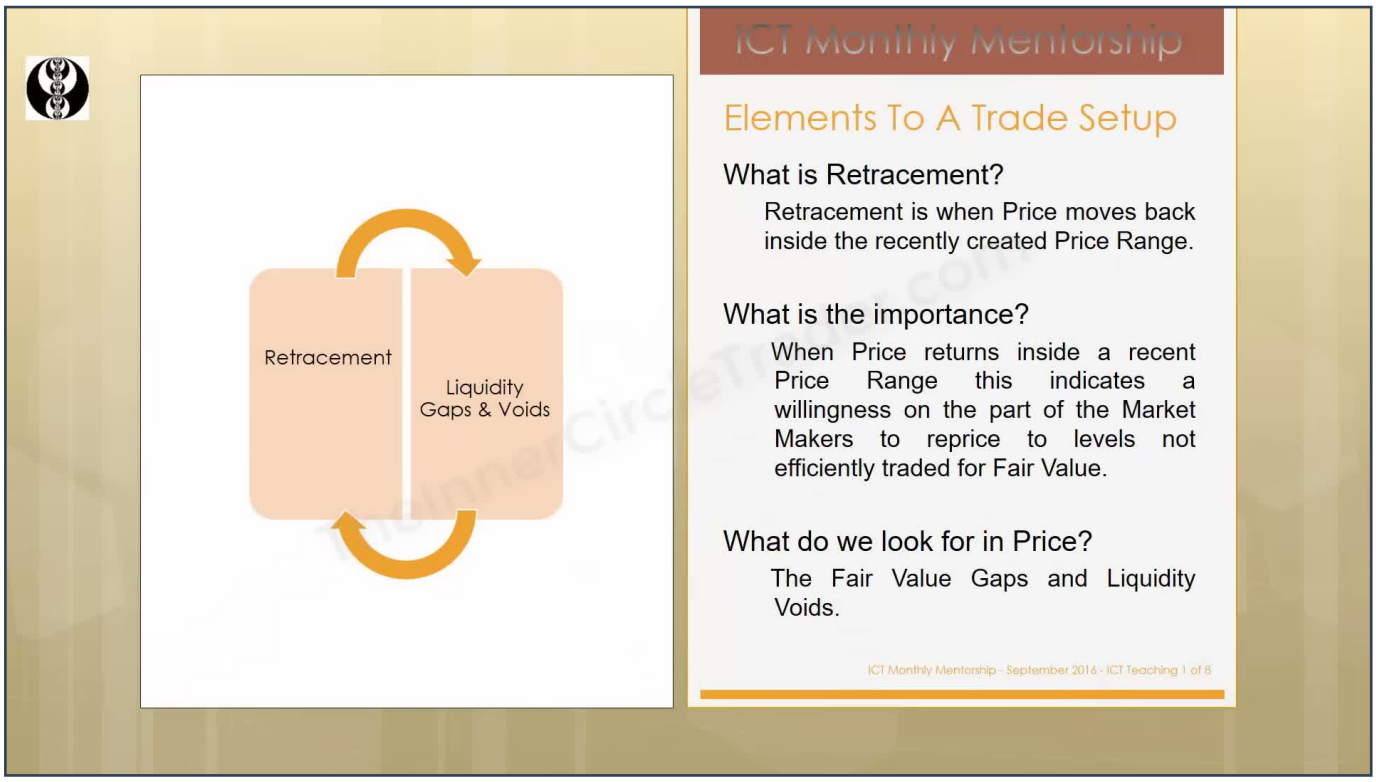

What is a Retracement?

- A retracement is when price moves back inside the recently created price range.

- In 2012, ICT conducted a webinar called 'trading inside the range', which taught a simple principle of trading within a defined range (by high and low) without requiring a breakout or trend.

- This concept served as a basis for understanding order blocks, which were later formally introduced in the Sniper Series.

Importance of the Retracement:

- When price returns inside a recent price range, it indicates a willingness on the part of the market makers to reprice to levels not efficiently traded for fair value.

- When thinking retracement, the go-to ICT tools are liquidity gaps and liquidity voids.

RETRACEMENT EXAMPLE: LIQUIDITY VOIDS AND FAIR VALUE

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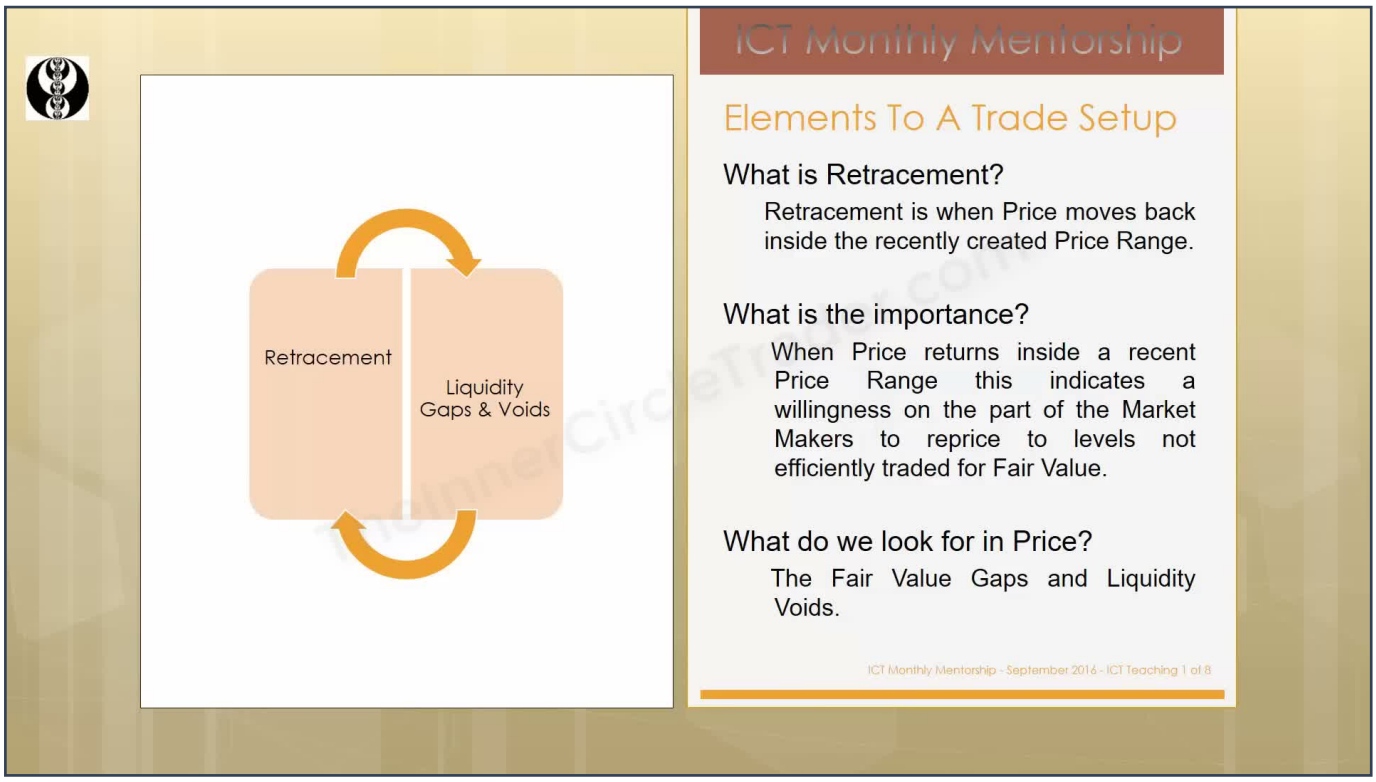

Here's an example of a retracement:

- The orange shaded area shows a quick, sudden movement away from a price level (an aggressive drop).

- This quick movement creates a 'liquidity void', meaning there were pockets where price wasn't delivered efficiently on every available price level; it moved too quickly, creating skips or gaps.

- As a trader, instead of chasing price, we wait.

- We anticipate either a long entry to fill in that range, or we wait for price to come all the way back up to fill in the liquidity void.

- Once the void is filled, price will likely resume its original direction (e.g., going lower after filling a void created by a drop).

- This is what we look for in terms of liquidity voids.

REVERSAL: DEFINITION AND IMPORTANCE

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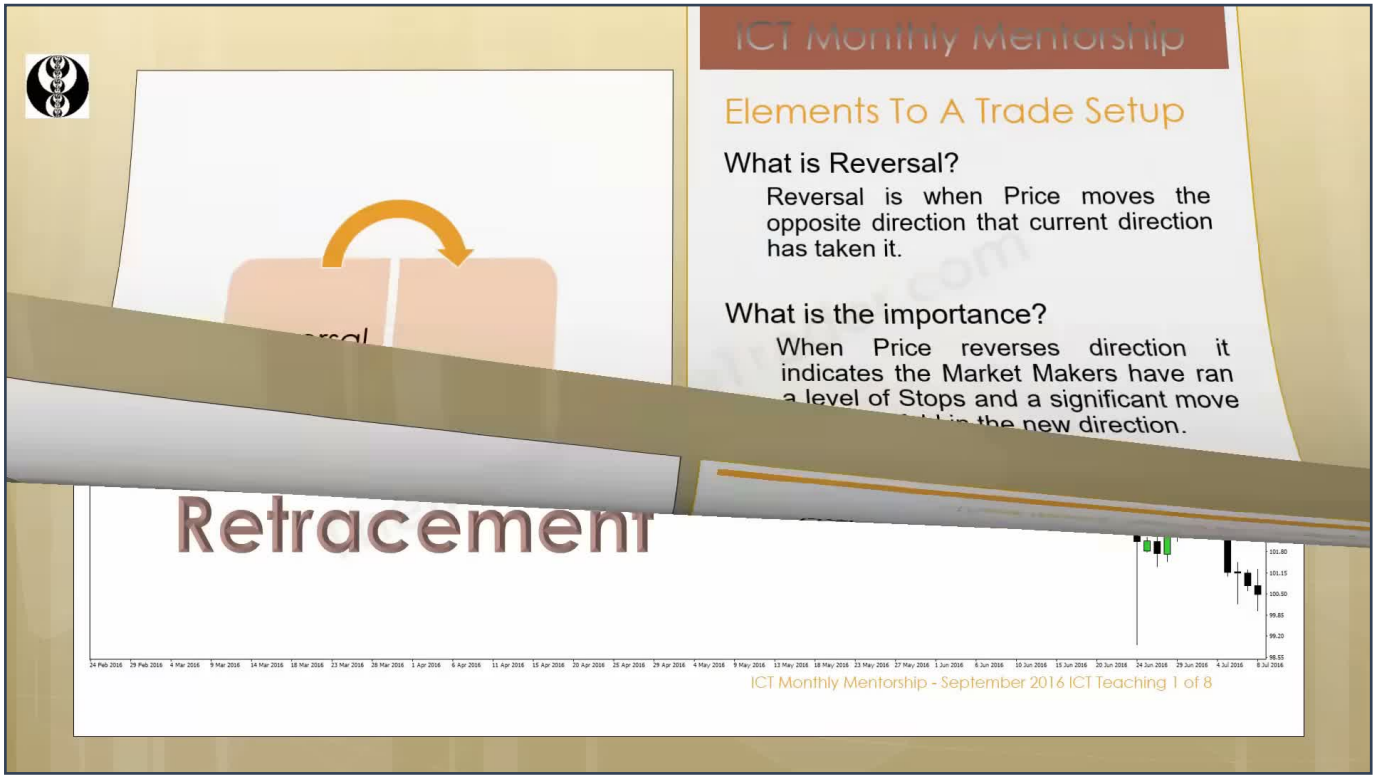

What is a Reversal?

- A reversal is when price moves in the opposite direction of the current trend.

- When looking for reversals, we directly couple that with ICT tools of liquidity pools.

Importance of a Reversal:

- When price reverses direction, it indicates that the market makers have run levels of stops.

- A significant move should unfold in the new direction.

What to look for in price:

- Liquidity pools just above an old high.

- Liquidity pools just below an old low.

REVERSAL EXAMPLE: LIQUIDITY POOLS AND STOP RUNS

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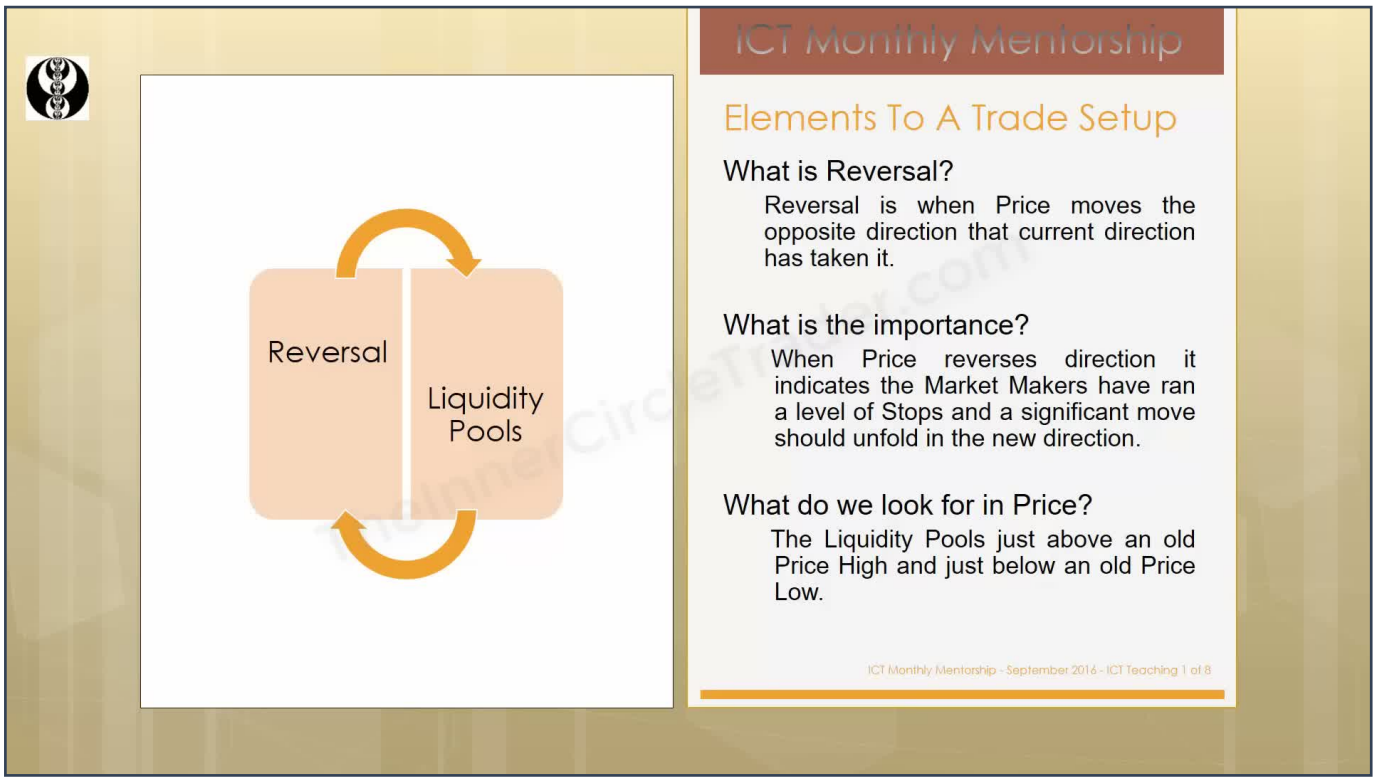

Here are examples of reversals:

- Each 'X' on the chart indicates where stops would be placed.

- The market moves just above these levels (running stops) and then rejects, reversing direction.

- Similarly, the market moves just below these levels (running stops) and then rejects, reversing direction.

- This chart (on the USD/CHF pair, which ICT notes as choppy but favorable for this type of trading) shows many opportunities for this pattern.

- 'Turtle soups' and false breaks are particularly common and effective on the Swissy.

CONSOLIDATION: DEFINITION AND IMPORTANCE

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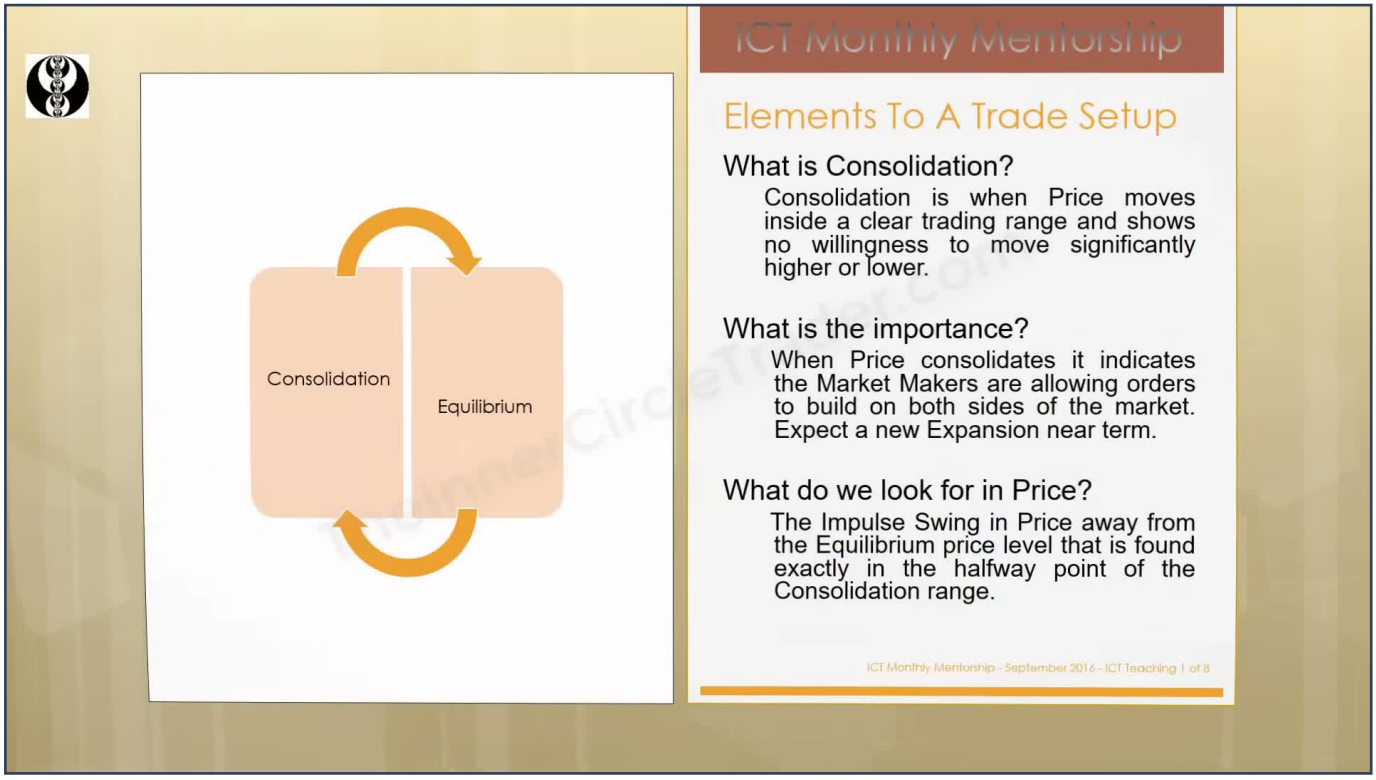

What is Consolidation?

- Consolidation is when price moves inside a clear trading range and shows no willingness to move significantly higher or lower.

- Whenever referring to consolidation, we directly relate that to an ICT tool of equilibrium.

Importance of Consolidation:

- When price consolidates, it indicates that the market makers are allowing orders to build on both sides of the market.

- Expect a new expansion in the near term.

What to look for in price:

- We wait for the impulse move or impulse swing in price.

- This move will be away from the equilibrium price level, which is found exactly at the halfway point of the consolidation range.

CONSOLIDATION EXAMPLE: EQUILIBRIUM PRICE POINT

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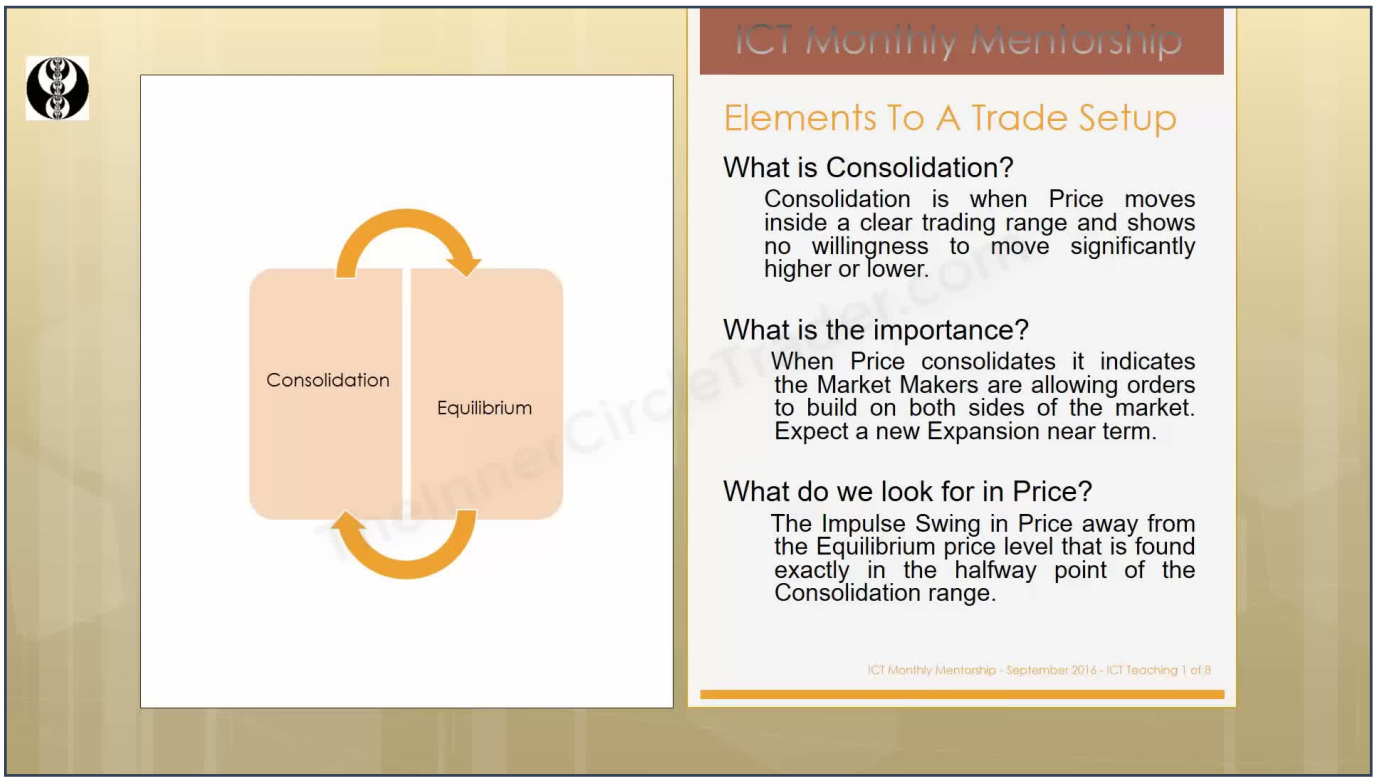

Here's an example of consolidation:

- We've identified a range defined specifically by the bodies of the candles, not the wicks.

- Price moves out in an expansive manner.

- It then comes right back down to the equilibrium price point.

- From there, it expands to the outside again.

- Understanding these specific characteristics and elements of a trade setup provides a framework for practicing, studying price action, and eventually achieving consistent setup discovery.

Utilizing daily time with ICT will help frame these characteristics and identify specific elements to a trade setup through repetition.

- This process will enable retention and personal discovery of your trading style.

- You will discover what type of trader you are, as one of these characteristics will become your 'bread and butter' condition.

- Some traders will trust equilibrium, others order blocks, and some will look for voids or liquidity gaps to trade into.

- You might start by trading with one or two of these characteristics, which will frame your trades. Eventually, you may understand all of them and become a universal trader.

Don't feel pressured to master all concepts before achieving consistency.

- You can become consistently profitable by focusing on just one element.

- It only takes one setup to begin consistent profitability in your trading.

- You need to know: what context or framework you're trading in, couple that with an ICT tool, and then wait for those conditions.

- You won't get a trade every day, but you can get a couple every week.

- If you monitor four major pairs with one specific condition, you might find a trade daily, but that's a goal for later. Focus on growth over time.

For now, go through your charts and:

- Look at all the examples that have already occurred on the left side of your chart.

- Outline them individually based on the characteristics and elements identified in this teaching.

Until next time, good luck and good trading.